RESERVE BANK OF INDIA

Regulatory Guidelines for Individual and Retail Lending in India Common Framework for AI-Assisted Credit Assessment Systems

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Purpose: This document provides the common RBI regulatory framework that applies to all credit assessment decisions for individual retail loans in India. It is ingested into the **rbi_guidelines** knowledge base collection and retrieved once per application to provide regulatory context to all AI decisioning nodes.

Chapter 1: Regulatory Framework for Retail Lending

1.1 Scope and Applicability

These guidelines apply to all Regulated Entities (REs) — Scheduled Commercial Banks, Small Finance Banks, NBFCs, and Housing Finance Companies — that extend individual retail loans including personal loans, consumer durable loans, two-wheeler loans, and MSME credit to individuals. All automated or AI-assisted credit decisioning systems must comply with these directives when assessing individual borrower creditworthiness.

1.2 Responsible Lending Principles

REs must ensure that credit is extended only to borrowers with demonstrated repayment capacity. Credit assessment must be objective, data-driven, and free from discrimination. Every assessment must be explainable and the borrower must be informed of the credit decision and its basis.

1.3 Minimum Creditworthiness Assessment

Before approving any individual retail loan, REs must assess: (a) bureau credit history and score from a licensed Credit Information Company, (b) repayment capacity through income verification, (c) existing debt obligations, (d) public record and legal history, and (e) recent credit-seeking behaviour through inquiry analysis.

Chapter 2: Credit Bureau Usage and CIBIL Score Standards

2.1 Mandatory Bureau Check

REs shall obtain a credit report from at least one licensed Credit Information Company (CIBIL, Experian, Equifax, CRIF) before approving any individual loan. The CIBIL TransUnion Score, Experian Credit Score, or equivalent bureau score ranges from 300 to 900 for individuals in India.

2.2 Credit Score Interpretation

A bureau credit score reflects the borrower's overall creditworthiness based on repayment history, credit utilisation, length of credit history, credit mix, and recent inquiries. Higher scores indicate lower credit risk. REs must classify applicants into internal credit risk bands based on the score and apply corresponding lending limits and risk flags.

2.3 Score-Based Risk Classification Requirements

Each RE must maintain a documented score band policy defining: (a) the minimum score threshold for each risk tier, (b) the maximum base lending limit per tier, (c) the risk flag (LOW, MODERATE, HIGH) for each tier, and (d) the weight of the credit score in any composite risk score calculation.

2.4 New-to-Credit (NTC) Borrowers

For borrowers with no bureau history, REs must use alternative data sources such as bank account statements, GST filings, or utility payment history. NTC borrowers should not be automatically declined; alternative assessment methods must be documented in the credit policy.

Chapter 3: Income Verification and Affordability Standards

3.1 Mandatory Income Verification

No retail loan shall be sanctioned without verification of the borrower's income. Acceptable income evidence includes: bank account statements for the last 6 months, Income Tax Return (ITR) filings, Form 16 or salary slips from employer, GST returns for self-employed individuals, or audited financial statements for business owners.

3.2 Debt-to-Income Ratio and FOIR

The Fixed Obligation to Income Ratio (FOIR) — equivalent to the Debt-to-Income (DTI) ratio — is the primary affordability metric. FOIR is calculated as total monthly fixed obligations (all EMIs plus the proposed new EMI) divided by net monthly income. REs must define a maximum FOIR threshold beyond which no loan shall be sanctioned. This threshold must be documented in the credit policy.

3.3 Missing Income Policy

If income cannot be verified from any acceptable source, the application must be treated as having UNACCEPTABLE income risk. An automated system must set income_missing_flag to True and reject the application unless additional manual verification is performed and documented.

3.4 Affordability Assessment Requirement

REs must assess whether the proposed EMI is affordable for the borrower. If the FOIR after including the proposed EMI exceeds the bank's documented maximum, the application must be declined or restructured to a lower principal or longer tenure that brings FOIR within permissible limits.

Chapter 4: NPA Classification and Payment History Standards

4.1 IRACP Norms — NPA Classification

As per RBI's Income Recognition, Asset Classification and Provisioning (IRACP) norms, accounts are classified as Non-Performing Assets (NPA) when overdue for more than 90 days. The DPD (Days Past Due) classification is: Standard (0 DPD), SMA-0 (1 to 30 DPD), SMA-1 (31 to 60 DPD), SMA-2 (61 to 90 DPD), Sub-Standard NPA (91 to 12 months), Doubtful NPA (more than 12 months), Loss Asset.

4.2 Delinquency Assessment in Credit Scoring

REs must count the number of accounts that have experienced 30-DPD, 60-DPD, and 90-DPD events. Each delinquency event increases credit risk. The total delinquency count across all tradelines must be used to classify the borrower's payment behaviour risk tier.

4.3 Charge-off and Written-Off Accounts

A charge-off (written-off account) indicates that the lender has given up on recovering the debt. Accounts with derog_counter greater than zero, status codes 97 or 93, or DPD history containing SUB, DBT, LSS, or XXX are considered charge-offs. The presence of any charge-off is treated as a significant adverse indicator in the payment behaviour assessment.

Chapter 5: Public Records and Insolvency Norms

5.1 Treatment of Bankruptcies and Insolvency Proceedings

Under the Insolvency and Bankruptcy Code (IBC) 2016, individuals may file for insolvency. Active insolvency proceedings trigger an automatic moratorium under IBC Section 14, during which no credit may be extended. REs must check bureau data for bankruptcy filings and insolvency proceedings before any credit approval.

5.2 Wilful Defaulter Classification

Borrowers classified as wilful defaulters by any lender and reported to the Central Repository of Information on Large Credits (CRILC) or appearing on the RBI wilful defaulter list must be declined for any new credit. This is a mandatory hard decline condition.

5.3 Severity-Based Adjustment

Where public records are present but do not trigger a hard decline — such as satisfied judgments or bankruptcies discharged several years ago — REs must apply a documented adjustment factor that reduces the maximum lending limit. This adjustment must be conservative and proportional to the severity and recency of the adverse event.

Chapter 6: Credit Utilisation and Revolving Credit Assessment

6.1 Revolving Credit Utilisation Standard

Credit utilisation measures the proportion of available revolving credit currently in use. High utilisation (typically above 60 percent) is an indicator of financial stress and reduces the RE's willingness to extend additional credit. Only revolving credit facilities (credit cards, overdrafts, cash credit accounts) should be included in the utilisation calculation; instalment loans must be excluded.

6.2 Utilisation as a Risk Signal

REs must define utilisation risk bands and corresponding adjustment factors that reduce the base lending limit proportionally. Low utilisation may be treated favourably with a positive adjustment. High utilisation indicates the borrower is nearing their credit limits and warrants a reduction in the maximum loan amount.

Chapter 7: Credit Inquiry Governance

7.1 Inquiry Velocity as a Risk Indicator

Multiple credit inquiries in a short period indicate either financial distress (seeking multiple credit lines simultaneously) or possible fraud. REs must count the number of hard credit inquiries in the preceding 12 months and classify the borrower's inquiry velocity risk.

7.2 Hard vs Soft Inquiries

Hard inquiries (initiated by the borrower seeking credit) must be counted for velocity risk assessment. Soft inquiries (e.g., account monitoring by existing lenders) must be excluded from the count. High inquiry velocity warrants an inquiry penalty factor that reduces the lending limit.

Chapter 8: Debt Exposure and Leverage Norms

8.1 Total Outstanding Debt Assessment

REs must assess the borrower's total outstanding indebtedness across all open credit accounts before extending new credit. Total existing debt and estimated monthly obligations from open tradelines must be computed and classified into exposure risk tiers.

8.2 Monthly Obligation Estimation

Where the exact monthly payment is not available from the bureau report, REs must apply a documented estimation methodology. A common approach is to divide the outstanding balance by the estimated remaining tenure. This estimated obligation must be included in the FOIR calculation.

Chapter 9: Risk Aggregation and Composite Scoring

9.1 Composite Risk Score Requirement

REs using automated decisioning systems must maintain a documented composite risk scoring methodology that combines multiple credit risk signals. The composite score must be computed using a weighted average of individual risk signals. All weights must be documented, sum to 100 percent, and be subject to periodic model validation.

9.2 Hard Decline Override

Certain adverse conditions — active insolvency proceedings, wilful defaulter classification, bankruptcy within the look-back period — must trigger an unconditional decline regardless of the composite risk score. No positive score from other risk factors may override these hard decline conditions. When a hard decline flag is triggered, the composite risk score must be set to zero.

9.3 Risk Tier Classification

The composite risk score must be mapped to discrete risk tiers (such as A, B, C, D, F) that drive the lending decision and interest rate assignment. Higher tiers (A, B) represent lower risk and attract more favourable interest rates. Lower tiers (D, F) represent higher risk and attract higher rates or mandatory decline.

Chapter 10: Lending Decision and Interest Rate Regulation

10.1 Risk-Based Pricing Requirement

As per RBI's Master Direction on Interest Rate on Advances, REs must link interest rates to the borrower's risk profile. Higher-risk borrowers must be charged higher interest rates. All interest rates must be based on the Marginal Cost of Funds Based Lending Rate (MCLR) or external benchmark plus a documented risk spread. The risk spread must reflect the borrower's credit tier.

10.2 Origination Fee and Charges Transparency

All loan charges — including origination fee, processing fee, and prepayment penalty — must be disclosed to the borrower upfront as per the Fair Practices Code. The disbursement amount (after deducting origination fee) must be clearly stated in the sanction letter.

10.3 Counter-Offer Obligation

Where the requested loan amount exceeds the assessed lending capacity but the borrower is not subject to a hard decline, REs must not issue an outright rejection. A counter-offer with a reduced principal amount and/or extended tenure must be computed and presented to the applicant, demonstrating the RE's effort to meet the borrower's credit needs within permissible limits.

Chapter 11: Audit, Explainability and Consumer Protection

11.1 Explainability of AI Credit Decisions

All automated or AI-assisted credit decisions must be explainable. The system must maintain a reasoning trace documenting which factors contributed to the decision, what thresholds were applied, and whether the values were retrieved from policy guidance (RAG) or generated by the model (FALLBACK). This trace must be retained for regulatory inspection.

11.2 Adverse Action Notice

As per RBI's Fair Practices Code, every borrower who receives a DECLINE or COUNTER_OFFER must be informed of the decision and its primary reason within a reasonable timeframe. The written communication must cite the credit factors that led to the adverse decision in plain language.

11.3 Data Privacy and PII Protection

Bureau data containing personal identifiers — name, address, account numbers, employer details, court record references — must be masked before processing through any AI or ML model. The original PII-bearing payload must not be accessible to any model or downstream system. This is mandatory under the Digital Personal Data Protection Act 2023 and RBI's Digital Lending Guidelines.

11.4 Audit Trail Requirements

REs must maintain a complete audit trail for every AI-assisted credit decision, including: the application identifier, the credit signals evaluated, the policy sources retrieved (RAG pool), the composite risk score, the risk tier, the decision rationale, and the final outcome. Audit records must be retained for a minimum of 7 years.